TEACHER GUIDE DRAFT

Leaving Certificate Business (current syllabus)

Business and the economy



Unit 6: Domestic environment
6.4 Inflation, interest rates, tax and grants; Unit 7 · 7.1 International trade

A revision lesson. Pupils run a car dealership in firms of four and revise business and the economy on their own deals. Seat each firm together. Each firm answers the topic tasks together.

The lesson

45-minute setting

Setup	Round 1	Round 2	Round 3	Final questions

EVERY ROUND

Firm decisions
3 min

→

Deals
4½–5 min

→

Topic tasks
4 min

→

B2B deal
2½ min
from Round 2

LESSON SETTINGS

30 min	45 min	60 min	75 min

What pupils do

Every pupil buys and sells cars. In Firm decisions, each role has its own job.



CEO

Staff · Sabotage from Round 2



Finance

Capital & Loans · Investments



Sales & Marketing

Marketing



Operations

Seasonal stock

Topic tasks

Each firm gets its own figures. The method is the same.

1 Passing on the rise

Round 1

The euro falls, so your imported cars cost more. Your buyers are very price sensitive.

If you pass on the full rise, what is most likely?

- **A** Sales fall a lot and revenue falls
- **B** Your costs fall in euros
- **C** Sales stay the same
- **D** Revenue rises with the higher price

ANSWER

✓ Sales fall a lot and revenue falls

Why: With elastic demand, a higher price cuts sales by more, so revenue falls.

2 Euro and your firm

Round 1

You import cars from Britain and sell some in Northern Ireland. The euro rises against sterling.

Which two effects are most likely?

- **A** Imports cost you less
- **B** Imports cost you more
- **C** Northern dealers buy more from you
- **D** Your cars cost more in Northern Ireland
- **E** Your costs do not change

ANSWER

✓ Imports cost you less
✓ Your cars cost more in Northern Ireland

Why: A strong euro: imports cheaper, exports dearer.

3 US cars in euros

Round 2

Three cars on offer from American dealers, priced in dollars.

Order by cost in euros, cheapest first?

- **A** $30,000 at $1.25 to the euro
- **B** $27,500 at $1.10 to the euro
- **C** $23,100 at $1.05 to the euro

ANSWER

1. **$23,100 at $1.05 to the euro**
2. **$30,000 at $1.25 to the euro**
3. **$27,500 at $1.10 to the euro**

Why: €22,000, €24,000 and €25,000.

Topic tasks

4 Loan interest rise

Round 2

Interest rates rise. Your stock loan's rate follows.

Rise in the interest a year?

Stock loan	**€30,000**
Interest a year, before	**7%**
Interest a year, now	**10%**

ANSWER

€900

€30,000 × (10% − 7%) = €900

Why: Higher rates raise the cost of your own borrowing too.

5 Fixed or variable

Round 3

Your €100,000 loan: variable 6% now, forecast 9% after six months. The bank offers a fixed 7%.

Which costs less over the year, and why?

A Stay on the variable rate

B Fix at 7%

ANSWER

✔ **Fix at 7%**

Why: Variable: €3,000 + €4,500 = €7,500 for the year; fixed at 7%: €7,000.

6 Rates: two effects

Round 3

Interest rates rise sharply. Many buyers use finance, and your stock loan has a variable rate.

Which pair of effects is most likely?

A Fewer buyers, dearer stock loans

B Fewer buyers, cheaper stock loans

C More buyers, cheaper stock loans

D More buyers, dearer stock loans

ANSWER

✔ **Fewer buyers, dearer stock loans**

Why: Dearer credit puts buyers off and raises the interest on your stock loan.

Final questions

Each pupil answers 6 final questions. Pick the question topic “Business and the economy”: the 6 come from these 10 questions.

1 What is inflation?
✔ **A general rise in prices over time**

2 The ECB raises rates. A dealer’s €200,000 loan moves from 4% to 5.5% a year. How much more interest is paid in a year?
✔ **€3,000**

3 Interest rates rise. Why might fewer customers buy cars on finance?
✔ **Monthly repayments get bigger**

4 Unemployment in the area rises sharply. What is the likely effect on a used-car dealer?
✔ **Fewer customers can afford a car**

5 Inflation is 5%. A service that cost €300 last year rises in line with inflation. What is the new price?
✔ **€315**

6 You import a car priced at 20,000 pounds sterling. €1 buys 0.80 pounds. What is the cost in euro?
✔ **€25,000**

7 The euro strengthens against sterling. For an Irish dealer importing cars from Britain, what happens?
✔ **Imported cars become cheaper in euro**

8 Which of these is an economic indicator?
✔ **The rate of inflation**

9 The Government gives a grant to a dealer installing EV chargers. What is a grant?
✔ **Money that does not have to be repaid**

10 The Government raises the VRT (vehicle registration tax) on large petrol cars. What should a dealer selling them do?
✔ **Shift stock towards smaller or electric models**